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Taiwan rates: Concerned about a repeat of H2 2022?

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KEY MESSAGES

- Taiwan rates have risen significantly after the CBC's RRR hike announcement, despite the central bank's assurance of a measured monetary policy tightening approach. We think the market is concerned about a repeat of H2 2022, when Taibor re-priced higher in between two RRR hikes.
- This time, the strong housing and stock markets add to sticky inflation concerns. We think Taiwan rates are still better pay in Asia and the curve shape is likely to be supported.

We have been seeing turbulence in Taiwan rates after Taiwan's central bank (CBC) announced a 25bp RRR hike, which will take effect on 1 July (see [Taiwan: CBC on pause with a tightening bias](#), dated 14 June). Both short-end and long-end rates have moved higher and the curve has re-steepened. In our view, the market could be concerned about a replay of H2 2022, when Taibor re-priced significantly higher in Q3, in between two RRR hikes. We think the surprising move from Taibor in 2022 reflected the tight interbank liquidity and the central bank's permission for the interbank rate to adjust to market forces as the spread between Taibor and the 90-day secondary market CP widened (see [Taiwan: What has happened to Taibor](#), dated 22 October 2022). At both times, Taibor did not move much initially after the first RRR hike, but as CP rates are again rising and private banks are offering higher quotes for Taibor, there could be more volatility if the market deems a second RRR hike more than likely (see Figures 1 and 2).

Compared with the backdrop in mid-2022, the TWD is still weak, but inflation is now trending lower (see Figure 3); GDP growth, the stock market, and the housing market, however, are all on an upward trajectory (see Figure 4). The market is now less concerned about another policy hike given the softening inflation and considering that CBC officials have said that using rate hikes will be too much given the focus is the property market (see [local news](#), dated 13 June). However, the rates market is now increasingly focused on how the CBC might cool down the booming property market and whether another RRR hike is imminent.

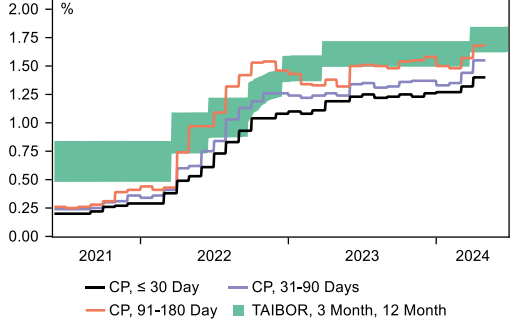
On the housing market, we noted real estate prices and housing-purchase loans have risen rapidly (see Figures 5 and 6). New housing loans now account for more than 10% of total loans, and the quality has remained sound as non-performing loans are still at a lower level. This round of the real estate boom is largely driven by pre-sale apartments, whose mortgage payment will only start in another 4~5 years, and the boost from preferential housing loans policies, which now account for more than half of the housing loans issued (see Figures 7 and 8). Therefore, although we think a policy rate hike from the CBC would be ineffective, the housing market is unlikely to experience a correction without other tightening measures.

Given CPI inflation is likely to stay above 2% and is only expected to ease below 2% around year end, we think the market can keep pushing short-end rates higher towards the 2% level while waiting for a less negative real rate. The current >3% rates gap with USD means the exchange rate can't appreciate in a sustained way beyond short-term position adjustment, in our view, similar to JPY and RMB.

We think concerns about Taibor may continue unless we see effective macroprudential tightening that takes away the need of monetary tightening; stabilization of the exchange rate due to a Fed cut or China stimulus, among others; and peaking Taiwan stocks that tighten financial conditions. As such, we think Taiwan rates are still better pay here. And given the CBC's preference for a gradual tightening approach, the curve is unlikely to flatten significantly, especially considering the ongoing wind farm projects-led hedging needs.

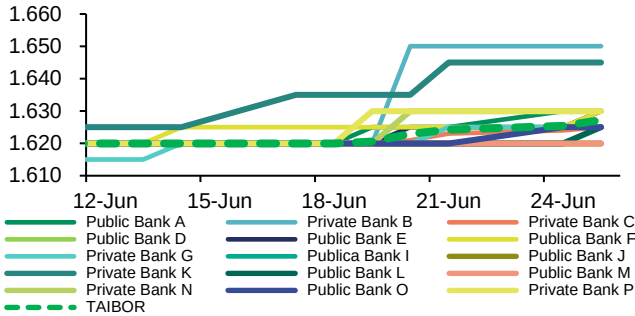
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Fig. 1: CP has stayed below 3m and 12m TAIBOR – not the case during H2 2022



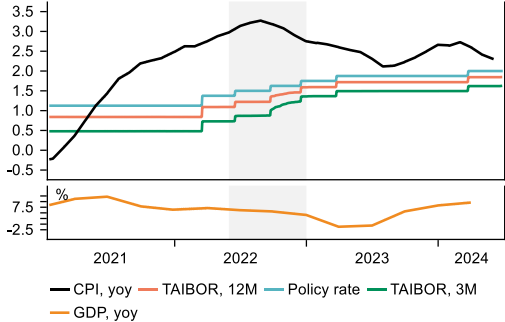
Sources: Macrobond, BNP Paribas

Fig. 2: Private banks are pushing up TAIBOR fixing



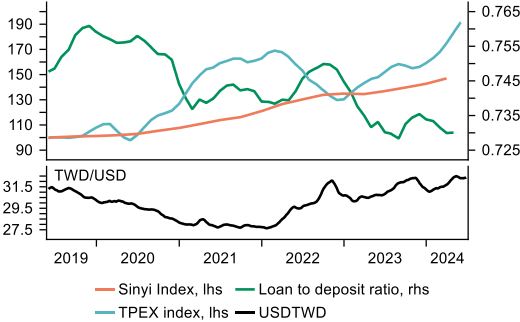
Sources: Bloomberg, BNP Paribas

Fig. 3: Downward trending CPI and better GDP growth outlook



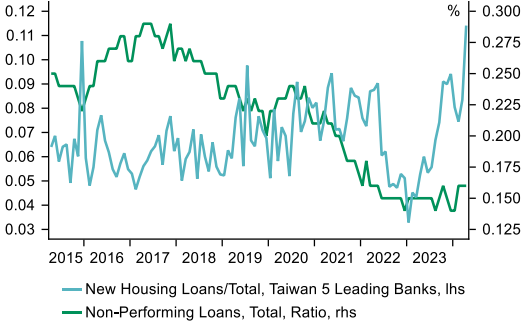
Sources :Macrobond, BNP Paribas

Fig. 4: Financial conditions are loose



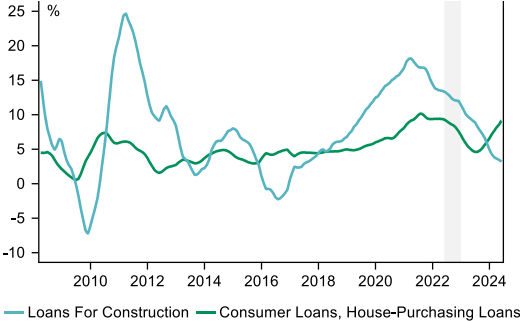
Sources: Macrobond, BNP Paribas

Fig. 5: New housing loans shoot up while non-performing loans level remained low



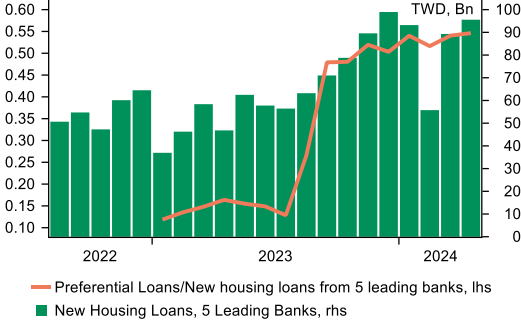
Sources: Macrobond, BNP Paribas

Fig. 6: Loans for house purchase/total loans continue to rise as loans for construction/total loans fall



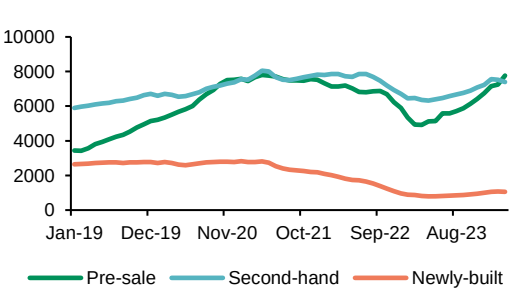
Sources: Macrobond, BNP Paribas

Fig. 7: Preferential housing loans now accounts for more than half of newly issued housing loans



Sources: Taiwan Ministry of Finance, BNP Paribas

Fig. 8: Transactions from pre-sale housing are the major driver of this housing market boom



Sources: Taiwan Ministry of Interior, BNP Paribas

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